The Better Policy Project

The Prudent Risk Management Approach to Macroeconomic Policy:

FPAS Mark 2 Current Analysis and Constructing Scenarios

The Better Policy Project Team
Bangkok 2026

GDPNow

Atlanta Fed GDPNow estimates for 2026: Q2, growth rates and changes

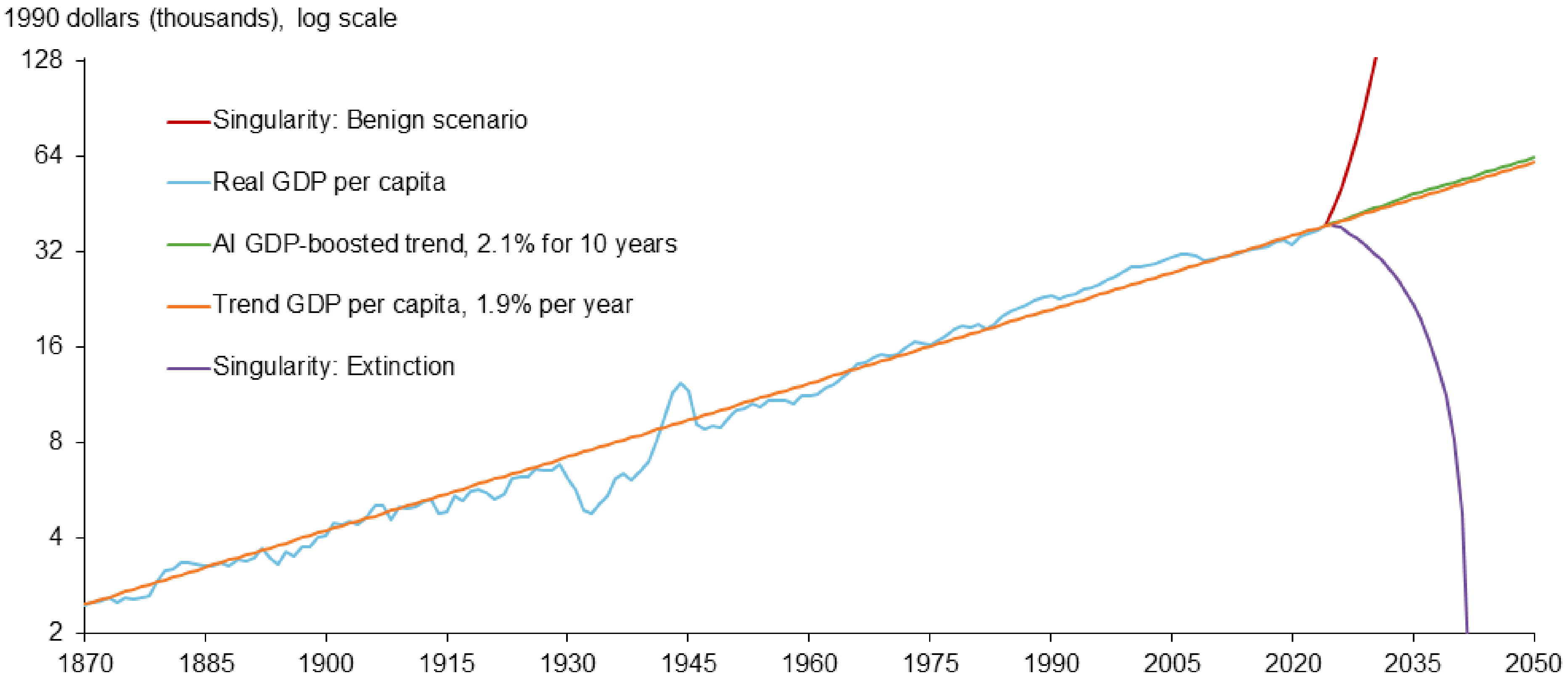
Date	Major Releases	GDP	PCE	Equip-ment	Intell. prop. prod.	Nonres. struct.	Resid. inves.	Govt.	Exports	Imports	Change in net exp.	Change in CIPI
28-May	Latest BEA estimate for 25:Q4	0.5	1.9	4.3	5.4	-6.5	-1.7	-5.6	-3.2	-1.0	-13	8
28-May	Latest BEA estimate for 26:Q1	1.6	1.4	17.2	11.6	-5.4	-6.2	4.4	13.1	21.1	-95	-10
30-Apr	Initial GDPNow 26:Q2 forecast	3.7	2.7	6.8	6.7	1.3	0.6	1.5	4.7	3.3	1	40
11-May	Existing-home sales	3.8	2.6	8.6	6.4	-1.8	2.2	1.5	3.7	2.4	3	46
12-May	CPI, Monthly Treasury Statement	3.8	2.6	8.6	6.4	-1.8	2.2	1.6	3.7	2.4	3	46
13-May	Producer Price Index	3.8	2.6	8.6	6.4	-1.8	2.1	1.6	3.7	2.4	3	45
14-May	Retail sales, Import and export prices	4.0	2.7	8.6	6.4	-1.8	2.3	1.6	3.8	2.4	3	52
15-May	Industrial production	4.3	2.9	9.4	6.4	-1.3	2.7	1.6	4.1	2.7	2	61
21-May	Housing starts	4.3	2.9	9.4	6.4	-1.3	1.6	1.6	4.1	2.7	2	61
28-May	GDP (Q1 2nd est.), Pers. Inc., NIPA underlying detail tables, Adv. Census Manuf. (M3-1), New-home sales	3.8	2.6	9.4	6.3	-1.2	2.3	1.6	4.0	3.1	-2	50
29-May	Advance Economic Indicators	3.1	2.5	13.1	6.3	-1.2	2.3	1.6	8.8	11.2	-44	28
1-Jun	ISM Manuf. Index, Constr. spending	3.0	2.4	12.4	6.2	-2.3	2.9	1.6	8.4	10.6	-42	31
3-Jun	M3-2 Manuf. (Full report), ISM Services	3.2	2.6	13.5	6.3	-2.1	3.2	1.6	8.7	11.0	-43	32
5-Jun	Employment situation	3.1	2.5	13.4	6.1	-2.2	2.9	1.9	8.5	10.8	-43	30
9-Jun	International trade (Full report), Wholesale trade, Existing-home sales	3.3	2.5	14.0	6.1	-2.2	4.6	1.9	8.8	10.9	-41	32

GDPNow: Why do we love it?

- Not because it has a low RMSE, although it has one
- Conceptually easy to understand and engage with
- Updated immediately following a data release
- Transparent: As an economist with our own views we can make our own judgments to adjust the estimates.
- Impossible to impose judgment on pure statistical models such as (STL Fed, CHI Fed PMI, NY Fed Nowcast etc.)

This is what true uncertainty looks like.

Chart 1
AI scenarios



NOTES: The blue line is real gross domestic product (GDP) per capita in 1990 dollars. The orange line is a trend line fitted to the data for 1870–2024 with a trend growth rate of 1.9 percent per year. The red, green and purple lines are hypothetical paths for per capita GDP based on different scenarios.
SOURCES: Bureau of Economic Analysis; Haver Analytics; Macrohistory.net; United Nations; authors' calculations.

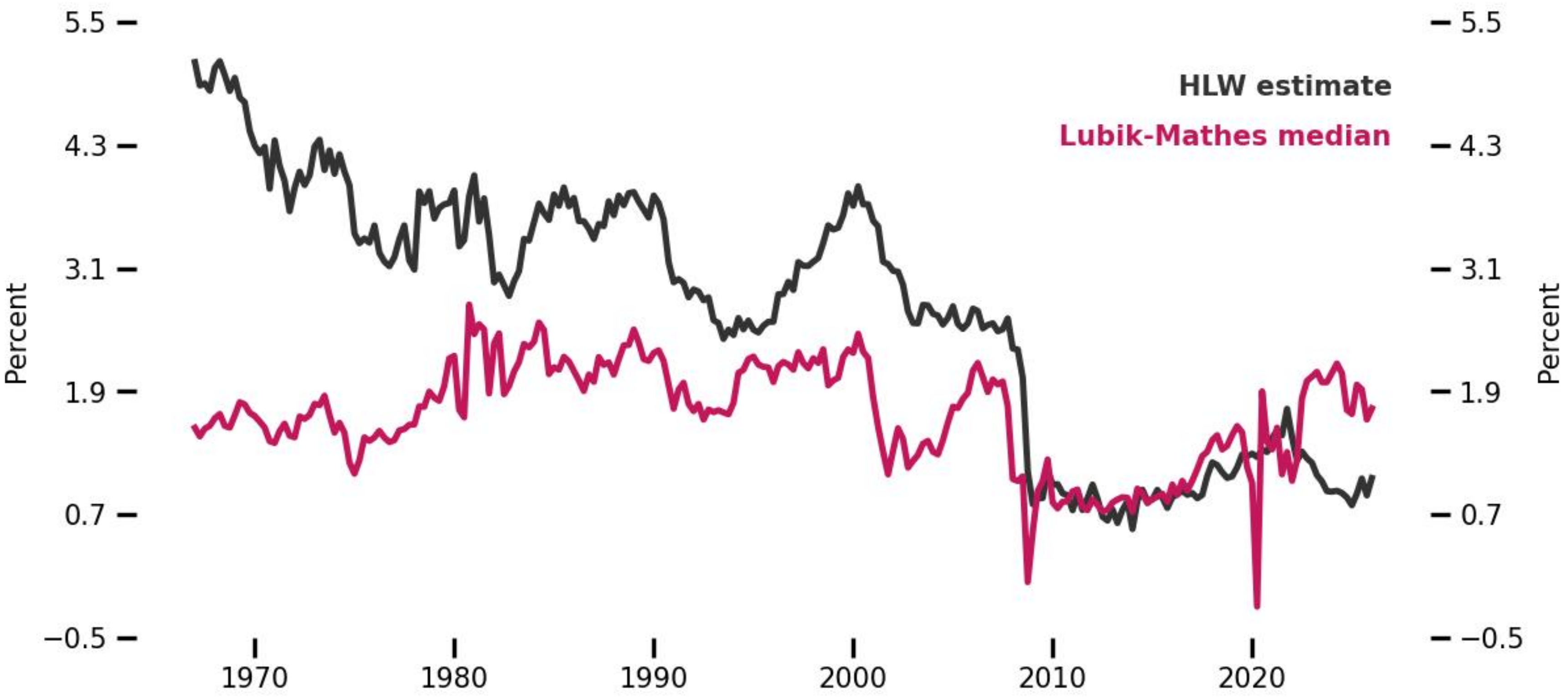
Federal Reserve Bank of Dallas

The Neutral Rate

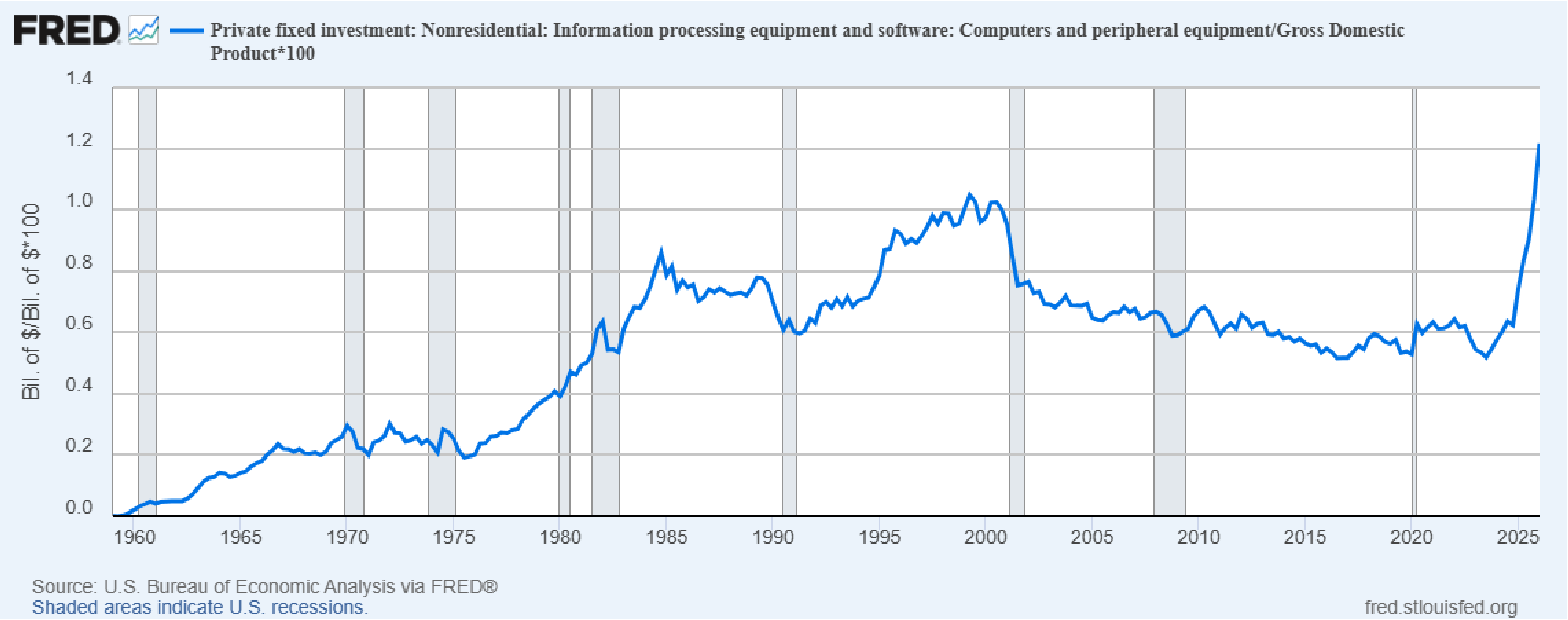
Lubik-Matthes is a statistical model while HLW is a structural model.

Can tell a macro story with HLW but its backward-looking which makes it slow to adjust to new information.

The structural model with judgment. And the judgment we can make for why the neutral interest rate is significantly higher than in HLW is due to the massive investment into AI.



Easy to motivate a major structural change is going on in the economy



Official MRS: A temporary oil shock

- Initial conditions should generally create the dynamics we want in the MRS → Inflation shock happens in previous period → MP tightens → AD declines enough to disinflate the economy

- Note: Might have to adjust inflation and AD shocks to make it more in line with the MRS

- Key assumptions:
  - Credibility = 0.9
  - RR_BAR = 1.7
  - GDP_BAR = 2.2
  - UNR_BAR = 4.4

Official Case B: The Warsh Scenario
AI Solves Everything

A temporary oil shock

Macro dynamics: Inflation shock dissipates quickly → MP is restrictive and stays so → AD declines enough to disinflate the economy but higher potential output means not as much as in the Case A scenario.

Note: Might have to add negative inflation shocks to be consistent with inflation coming back to target more quickly so that it doesn't affect the credibility process OR we just make credibility exogenous.

- Key assumptions:
  - Credibility = 1
  - RR_BAR = 1.1
  - GDP_BAR = 2.5
  - UNR_BAR = 4.4

Official Case A: AI requires tighter financial conditions in the SR

A temporary oil shock

- A negative labor supply shock starting in 2025
- Investment into AI is massive. This pushes up on aggregate demand, supply-chain pressure and the neutral interest rate in the short-run.
- NAIRU: rises on matching friction

- Key assumptions:
  - Credibility = 0.8
  - RR_BAR = 2
  - GDP_BAR = 1.8
  - UNR_BAR = 4.8